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China Musings | Asia Pacific

No Pivot Yet—but Watch Closely

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Don't expect a September 2024-style pivot. Growth is in target range amid AI capex and Asian industrial cycle. Local debt, housing, and deflationary pressures are off troughs. Expect use of existing fiscal tools, not a fresh "bazooka." September remains a decision window if data still disappoint.

Key Takeaways

- A September 2024-style pivot is unlikely for now. Growth remains within the target range. The fiscal, social, deflation, and housing stresses have eased.
- AI hardware exports will likely remain the bedrock of export growth. Asia's unfolding capex up-cycle provides a second leg of support.
- Beijing can cushion slowing investment through computing- and power-network capex, but these sectors are too small to drive a meaningful rebound in overall FAI.
- China can keep crude imports subdued for longer: inventories remain ample, and the current growth mix is less oil-intensive.
- The Politburo is likely to make policy support mildly more urgent, prioritizing faster fiscal rollout. Broader easing may ensue if July-August data disappoint.

In this report, we discuss these questions:

Detailed Musings

#1: Are we close to a policy pivot akin to the one in September 2024?

This is not a pivotal juncture akin to September 2024: A confluence of pressures forced Beijing's pivot two years ago. These pressures have either bottomed out or remain above their prior trough, while headline growth remains within the official target range. Absent a fresh, self-reinforcing deterioration across these fronts, we expect Beijing to fine-tune at the upcoming Politburo, rather than pivot.

What drove the September 2024 pivot: The September 2024 Politburo meeting marked a decisive shift from risk control to growth support. It was less a response to any single data point than a recognition that the slowdown had become self-reinforcing and that the earlier, incremental measures were no longer sufficient to arrest it.

- **Local government financing was seizing up:** Off-budget financing (land sales) was contracting sharply, while on-budget revenue was weighed down by deflation – leading to procyclical fiscal austerity. In particular, LGFVs faced severe high-cost, short-tenor refinancing pressure.
- **Social dynamics were weakening toward a tipping point:** Our previous Social Dynamics Indicator—capturing household income growth, job sentiment, labor incidents, and Engel's coefficient—was approaching the thresholds that historically precede a policy pivot.
- **Deflationary pressures were pervasive:** The economy was in the third year of PPI deflation, with the GDP deflator deeply negative, while sequential growth in core CPI turned negative. Expectations of persistent price declines were becoming self-reinforcing.
- **Home prices were falling fast:** The correction had entered its sharper phase as expectations turned, with prices down steeply.
- **Growth was off-track:** Real GDP growth was 5.3%, 4.7%, and 4.6% over 1Q-3Q24, drifting below the ~5% annual target.

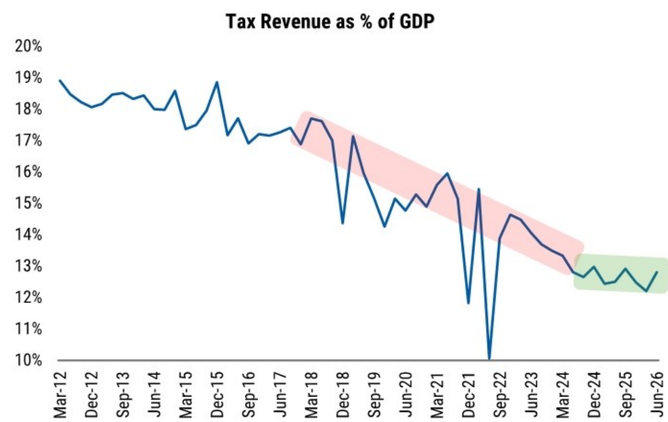
The response was correspondingly broad: It encompassed PBoC rate and RRR cuts, mortgage relief measures, equity market support facilities, consumer goods trade-in program, and – most critically – a large-scale local debt resolution package to alleviate fiscal austerity.

Conditions today are different: Each of these pressures has since bottomed out or eased, and growth remains within target:

- **Government financing has stabilized, somewhat:** The Rmb10trn debt-swap program is on schedule, which, combined with debt restructuring, has helped to ease LGFV interest payment and refinancing pressures. Tax revenue as a share of GDP appears to have stabilized after a prolonged decline (Exhibit 1) amid the stabilization in nominal GDP and tighter tax collection.

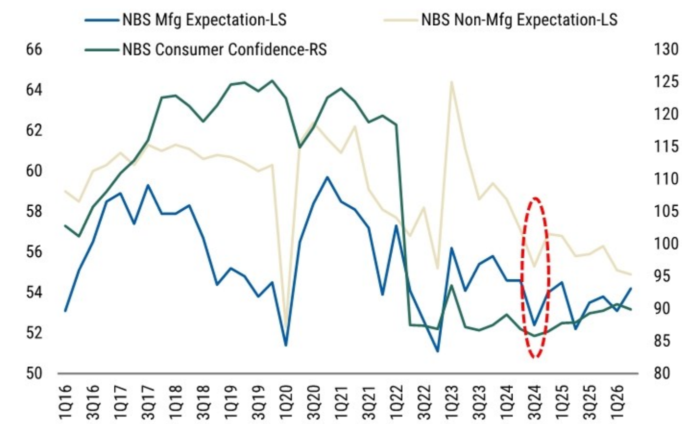
- **Social dynamics are above their trough:** With the September 2024 measures having put a floor under growth, sentiment-related indicators that were approaching pivot thresholds two years ago have broadly improved, though quite modestly (Exhibit 2).
- **Deflation has eased off its worst:** PPI has swung out of multi-year deflation into positive territory, helped by AI demand and imported cost pressures, and sequential core CPI returned to lowflation—far from the deep, entrenched deflation of 2024 (Exhibit 3), even if broad-based reflation remains incomplete.
- **The housing correction is moderating:** After a broad-based and synchronous decline of four to five years in housing prices and transactions across the country, we now see emerging divergences – a select few top-tier cities and some high-end housing have shown signs of stabilization, even though the broader market remains in a downward trend.
- **Growth remains within target:** 1H26 GDP grew 4.7%, inside the official 4.5–5% range, even after 2Q softened to 4.3%. Resilient, AI- and export-led industrial activity continues to anchor headline growth, while low base could help YoY in 2H26 (Exhibit 4).

Exhibit 1: Tax revenue as a share of GDP appears to have stabilized after a prolonged decline



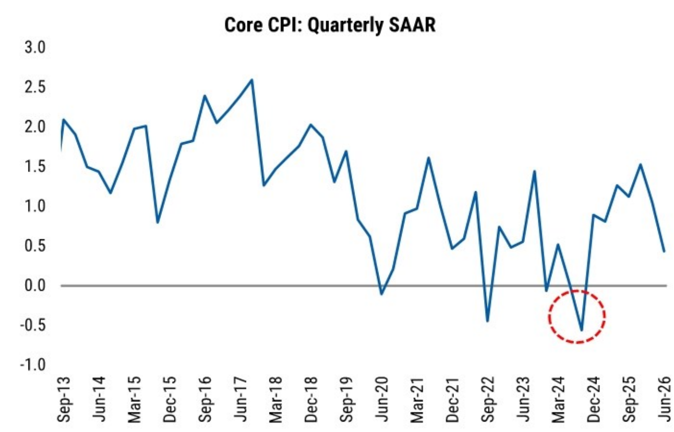
Source: MoF, NBS, Morgan Stanley Research

Exhibit 2: Corporate and consumer sentiment indicators have largely stabilized above their troughs of late 2024



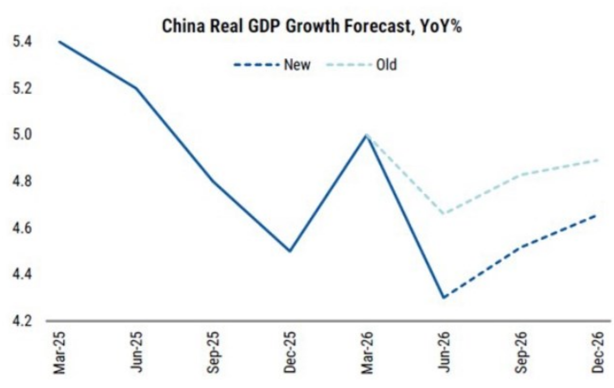
Source: NBS, Morgan Stanley Research

Exhibit 3: Core CPI has rebounded sharply since 3Q24, though it has moderated YTD



Source: CEIC, Morgan Stanley Research estimates

Exhibit 4: We have lowered our 2026 GDP growth forecast but expect YoY to firm up in 2H thanks to policy fine-tuning and low base

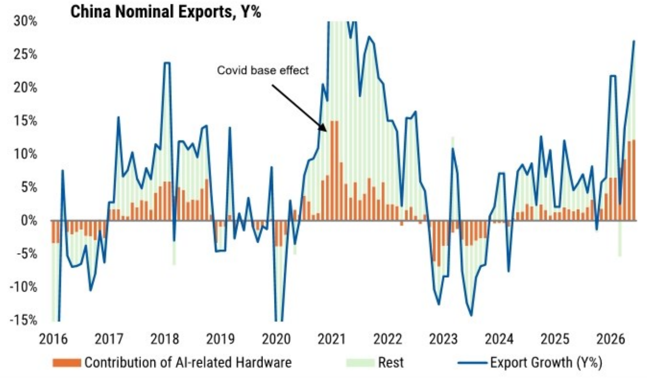


Source: CEIC, Morgan Stanley Research

#2. Why can Beijing wait? Structural exports act as bedrock for growth

Growth should stay resilient thanks to exports, even as domestic demand lags, carried by two reinforcing forces: a durable AI-driven capex cycle in which China is a key hardware supplier, and a broader Asian industrial capex super-cycle that is now visibly unfolding.

Exhibit 5: AI-related hardware now a key driver of nominal exports



Source: CEIC, Morgan Stanley Research

AI-related hardware now a lead engine of China's exports: AI-related infrastructure has added more than 10ppt to headline export growth in recent months, keeping factory activity resilient even as 2Q GDP growth softened to 4.3%. This demand looks durable, not transient: our US semiconductor team argues that memory is now the primary bottleneck in AI builds, with data center memory prices up 25%+ in 3Q and shortages set to intensify into 2027–28—"there isn't enough memory vs. AI requirements, and we just don't see that changing." Long-term supply agreements may flatten the cycle's amplitude while extending its duration, implying a multi-year runway for China's exporters of components, hardware, and AI-adjacent equipment—sectors where China keeps gaining share alongside power equipment, EVs, and clean energy.

The Asian capex super-cycle is showing up in the data: As the region's production powerhouse, China captures a double benefit when both Asian and global capex rise. Growth in capital goods imports in Asia ex-China accelerated to 33%Y (3MMA) in May, the strongest since 2004, while bank credit growth (8.5%Y) and nominal industrial production (12.5%Y) have both hit 18-year highs—led by corporate demand tied to capex and trade. The strength spans AI infrastructure, energy, defense, and industrial supply chains, and is judged to be structural and multi-year, unlike the shorter 2017–18 cycle. See: Asia Economics: Headed Towards an Industrial Super-Cycle (27 Apr 2026)

China is levered to exactly where the world is spending: Its export mix is now concentrated precisely where global and regional capex are expanding structurally, anchoring headline growth and buying Beijing room to keep policy largely stable. The caveat: this strength is capital-intensive, so spillover to jobs and consumption stays weak—and the same AI capex channel that is a tailwind today is also the principal downside risk should the global cycle disappoint.

#3. Can Beijing stabilize investment?

China's investment slowdown has moved to the forefront of investor and policymaker concerns. While the deterioration in headline FAI likely overstates the underlying loss of momentum—expenditure-side GDP data suggest nominal gross capital formation was still growing ~4% — the rapid contraction in construction-related activity is unmistakable. Beijing has vowed to respond by elevating the "Six Networks," with computation and power networks emerging as the two near-term priorities. The key question is how much of that intention can translate into growth support.

AI capex – supportive, but constrained: We maintain our view that the AI-driven capex cycle will add around 0.2ppt to annual GDP growth in 2026–27, led primarily by investment from China's largest hyperscalers (Exhibit 6). Spending on servers, networking equipment, power systems, and related infrastructure should remain supportive. However, we do not expect data center construction to accelerate sharply, constrained by the availability and performance of domestically produced advanced chips.

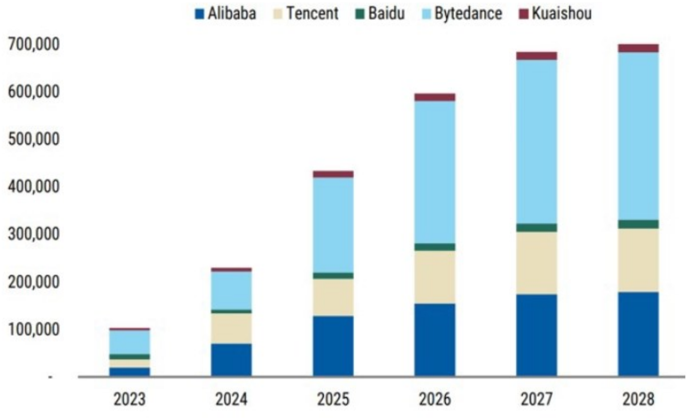
Power network *could* modestly lift growth under aggressive front-loading: China's grid capex is run almost entirely by two SOEs—State Grid (>80% of investment) and China Southern Power Grid. Mapping their historical annual outlays against the 14th (2021–25) and 15th (2026–30) Five-Year Plan envelopes, and our 1H25/2H25/1H26 estimates, we can bound the 2026 impulse. With an aggressive assumption—where FY2026 investment is run at the potential 2026–30 average pace, implying heavy front-loading—incremental grid spending could add roughly 0.2ppt to 2H GDP growth and 0.6ppt to 2H FAI growth. That said, such heavy front-loading is somewhat unlikely; a more even acceleration through the plan period would make a smaller, though still supportive, contribution.

A decisive turnaround in investment elsewhere remains elusive: Three larger capex segments will likely continue to see segment-specific structural constraints.

1. **Construction-intensive infrastructure:** This remains constrained by local-government debt dynamics, as the continued emphasis on hidden-debt resolution and a "correct view of performance" steers localities away from new project initiation.
2. **Manufacturing investment:** This in turn is capped by persistent overcapacity: industrial capacity utilization declined to 73.0% in 2Q26, the lowest reading in over two years despite slower investments since 2H25, affording little incentive for broad-based capacity expansion beyond the AI- and export-linked segments.
3. **Property investment:** This remains capped by inventory overhang in lower-tier cities.

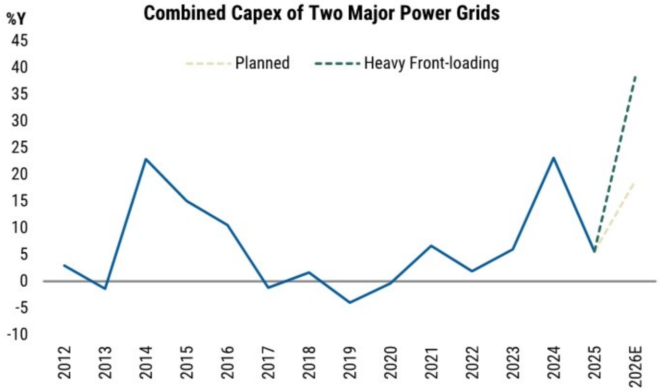
Our conclusion – cushion, not lift: Beijing's intention to stabilize investment is clear; its ability to deliver a sufficiently large impulse is less so. Faster fiscal deployment and increased spending on computing and power networks should support a modest improvement in infrastructure investment. Yet these segments remain too small to offset persistent weakness in the much larger property, construction-intensive infrastructure and broad manufacturing-capex categories. For example, power grid capex is less than 2% of FAI. We therefore expect policy support to cushion the investment downturn, rather than produce a decisive turnaround.

Exhibit 6: Top hyperscalers to add around ~0.2ppt to annual GDP growth in 2026–27



Source: Company data, Morgan Stanley Research estimates

Exhibit 7: Power grid capex would make a noticeable contribution to 2026 GDP only if investment planned for 2026–30 is heavily front-loaded



Source: Public data, Morgan Stanley Research estimates

#4. When may China start to lift oil imports?

The growth mix underlying slower but resilient headline GDP is also reducing China's oil intensity, allowing crude imports to remain subdued.

An increasingly important catalyst for global oil markets is that China's current restraint in crude buying proves temporary. Since the Strait of Hormuz conflict began, China has acted as a critical shock absorber: cutting imports roughly 5 mb/d. Imports fell further to ~7 mb/d in June. A partial normalization of Chinese purchasing—whether to rebuild stocks or raise refinery runs—would therefore remove an important source of demand restraint and materially tighten the global crude balance.

First and foremost, China's import reduction should not, however, be interpreted as an equivalent collapse in domestic oil consumption. Before the conflict, China was importing well above immediate refinery requirements and accumulating broad commercial and strategic inventories, with its implied crude balance surplus reaching approximately 2.7 mb/d in February. See: Oil Data Digest: Digging into the China Data (June 10, 2026).

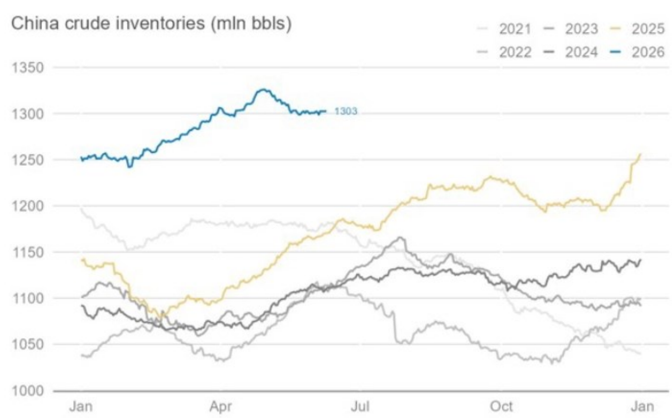
The first adjustment was therefore to halt incremental stockbuilding and subsequently draw upon commercial inventories: There is no indication, however, that the formal SPR was released. Refiners also cut throughput sharply as higher crude costs, regulated domestic fuel prices and restrictions on refined product exports pushed margins into negative territory.

A further part of the adjustment came from weaker end demand, particularly in petrochemicals and other oil-intensive industries: Tighter availability and poorer economics for LPG, naphtha, and fuel oil forced petrochemical facilities to reduce operating rates, while subdued construction activity weighed on diesel consumption. Substitution also helped: refiners increased ethane use where technically possible, while the continued adoption of LNG and electric trucks, passenger EVs, and high-speed rail reduced petroleum consumption at the margin.

China also reduced exports of oil-intensive products: Refined petroleum-product exports swung from solid growth in late 2025 to outright contraction, falling 37.8% year on year in April, 23.6% in May, and 18.3% in June. Beyond fuels, fertilizer exports fell 48% year on year in June, synthetic organic dyestuff exports contracted in four of the past five months, and growth in chemical fiber textile material exports slowed from an average of approximately 23% in 2025 to just 5% since March 2026.

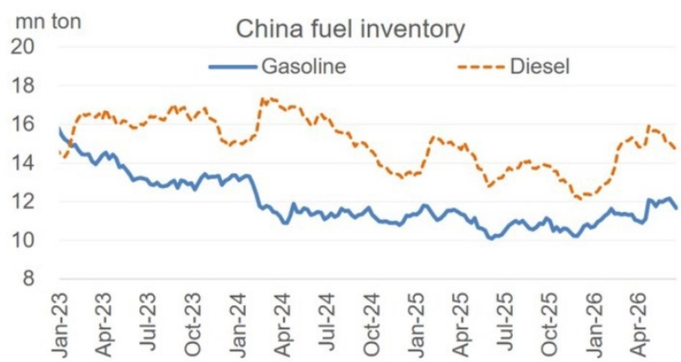
The available evidence therefore suggests the view that China can muddle through for longer, provided its growth mix remains broadly unchanged: In the first half of 2026, construction value-added contracted at -4.5%Y against a 5.4% rise in nominal GDP, making growth composition less oil-intensive than previous cycles. Chinese buying could rebound if commercial stocks approach operational minimums, but latest data suggest that both "observable" crude inventory and refined oil inventory remain well above previous troughs despite some initial drawdown.

Exhibit 8: Observable Chinese crude inventories continued to build over March and April



Source: Vortexa, Morgan Stanley Research

Exhibit 9: Refined fuel inventory has been elevated since SoH disruptions



Source: Oilchem, SCI, Morgan Stanley Research

#5. What do we expect from here?

The upcoming Politburo meeting will likely adopt a more cautious assessment of the economy and signal a modest increase in the urgency of policy support: However, we do not expect an immediate shift toward a new stimulus package. The initial focus should remain on using existing policy space more fully and accelerating measures whose execution has so far been slow.

July and August will provide an important test of both the economy and policy delivery: On the activity side, the key question is whether domestic demand YoY growth begins to stabilize. With stable sequential growth, this should be achievable given lower comparison base. On the policy side, we will watch the pace of policy bank bond issuance as a gauge of whether funding for major infrastructure networks is being deployed.

If activity and policy implementation still fail to improve by September, the likelihood of additional easing should rise: Recent comments from the vice-chair of the CPPCC Economic Committee outlined several plausible options, including additional government-bond issuance if necessary, reserve requirement and policy rate cuts, and accelerated urban-renewal. But note that any renewed push into construction-intensive infrastructure would likely need to rely more heavily on central government or policy bank financing, as well as clearer pro-growth signals from the central leadership.

Our baseline is therefore a gradual policy ramp-up rather than a one-off stimulus push: a more supportive signal at the July Politburo meeting, faster execution through the summer, and additional measures only if the data and policy rollout continue to disappoint.

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